

**JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION
SPRDL1-23-R-0021**

1.Contracting Agency: Defense Logistics Agency - DLA Land Warren (DLA-WRN).

2.Description of Action: DLA-WRN proposes to award a new Firm-Fixed-Price, Indefinite Delivery, Indefinite Quantity (IDIQ) contract to DRS NETWORK AND IMAGING SYSTEMS, LLC., Commercial and Government Entity (CAGE) 1JNU9, for National Stock Number (NSN) 5836-01-556-9104, CONTROL PAN IBV IV, using Army Working Capital Funds (AWCF).

3.Description of Supplies/Services: The NSN is 5836-01-556-9104, the part number 7002924, CONTROL PAN IBV IV, commonly called the Driver's Vision Enhancer (DVE) Control Box, is used on the Assault Breacher Vehicle (ABV), NSN: 2350-01-511-7783. The deliverable for this procurement is for a five-year contract for a guaranteed minimum quantity of 18 each and a maximum total quantity of 66 each. The total estimated maximum value of this contract is \$ [REDACTED]

This is a control panel for controlling the Integrated Vision System (IVS) on the ABV. It contains a joystick and other switches including a power switch.

Acquisition Method Code (AMC):

3 - Acquire, for the second or subsequent time, directly from the actual manufacturer.

Acquisition Method Suffix Code (AMSC):

D - The data needed to acquire this part competitively is not physically available, it cannot be obtained economically, nor is it possible to draft adequate specifications or any other adequate, economical description of the material for a competitive solicitation. AMCS 3, 4, or 5 are valid.

4.Authority Cited: The statutory authority permitting other than full and open competition for this effort is 10 United States Code (U.S.C.) 3204(a) (1) as implemented by Federal Acquisition Regulation (FAR) 6.302-1, Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.

5.Reason for Authority Cited: The DVE is part of the IVS. The DVE is an uncooled sensor and display control module that provides a black and white thermal image to the driver. The sensor operates in day and night conditions. From the display module, the user can control the camera gain, level, and polarity, and initiate a sensor calibration. The DVE can also receive feeds from the IVS.

The DVE Control Panel contains the IVS On/Off switch, and it allows the commander to control which camera the driver and commander are currently viewing. It also contains a joystick for controlling the gimbal pointing position. The control panel provides power to all IVS components and pulls video from all IVS cameras. It also allows the commander to determine range to the target by using the Laser Range Finder (LRF). Finally, the DVE Control Panel contains seven control devices that include a system ON/OFF switch, a joystick for controlling gimbal position, switches to operate the gimbal, and a rotary switch to control the video signals.

The Government does not have rights to the Technical Data Package (TDP) or specifications.

DRS, as the prime contractor, sourced the DVE Control Panel from subcontractor / Original Equipment Manufacturers (OEM) DRS Network & Imaging Systems, LLC, who developed the item leveraging their core intellectual property. Product Manager Bridging doesn't have a data agreement with the OEM. Agreements between design contractors and OEMs are exclusive and such that the Government cannot procure technical data rights from the OEM.

DRS Network & Imaging Systems has demonstrated the ability to establish and maintain the processing required to successfully produce a finished item. This approved source has produced and qualified this part and associated assemblies to Government specifications for the ABV.

The engineering estimate for the cost of developing an alternative source includes TDP development from product tooling, manufacturing tooling, and testing and qualification as detailed below:

Task	Estimated Amount
TDP Development	\$600,000
Product Tooling	\$250,000
Manufacturing Tooling	\$200,000
Testing & Qualification	\$450,000
TOTAL	\$1,500,000

This estimate is purely an engineering estimate based on engineering experience with similar parts.

The Combat Capabilities Development Command (DEVCOM) Ground Vehicle Systems Center (GVSC) Bridging Life Cycle Engineer estimated that the cost of qualifying another source for the DVE Control Panel would be approximately \$1.5M, as detailed in the table above. This estimate is based on historical costs of comparable component redesign efforts.

TDP Development: The estimated cost of TDP development for this item is \$600K. This includes reviewing the TDP data on hand to compile the qualification checks

necessary to ensure that the new manufacturer can produce a quality part that is dependable and reliable. The TDP would also require documentation of production and manufacturing processes that could affect the reliability and dependability of the control panel, as required. The DVE Control Panel interfaces with the DVE Display unit. Additional complexity is introduced since both the DVE Display and the DVE Control Panel would need to be analyzed and understood to provide a working DVE Control Panel. The total estimated time to complete this phase could be nine months in duration.

Product Tooling: The estimated cost of Product Tooling is \$250K and includes making or buying durable tooling to make the components requiring milling, welding, attaching, fabricating, and Additive Manufacturing (AM), as required. The estimated time for this phase could be six months.

Manufacturing Tooling: The estimated cost of Manufacturing Tooling is \$200K, and includes processing and assembly equipment, assembly fixtures and gauges, and installation attachments and tools when needed. The estimated time to complete this phase would be [REDACTED]

Testing and Qualification: The estimated cost of Testing and Qualification is \$450K and includes a combination of bench test and/or vehicle test with adjudication. The bench test includes sub-system integration, operation within test parameters, and evaluation. The vehicle test requires obtaining a vehicle and test location with operators whether civilian or military. It could include fit, function, and performance of the part and sub-systems for both moving and stationary durations. Testing would include such areas as Environmental, Electromagnetic Interference, Electromagnetic Compatibility, Vibration, and Reliability, Availability, and Maintainability (RAM). Qualification involves analyzing the test results compared to the requirements with standards and providing a sufficient report. The estimated time for this phase could be as little as [REDACTED]

The dollar value of the part being procured, currently at \$ [REDACTED] compared to the cost of developing a new reversed engineered part, as described above as being \$1,500,000, does not justify the expense associated with a full and open competition. The expense of testing and evaluation would be avoided by utilizing the current supplier since that has all been previously completed with the current source. The cost of this process would not be recoverable given the expected low volume of subsequent replacement orders. Additionally, the duration to complete this process plus enable the new supplier to produce 18 units would exceed the time required to source, contract, and have the OEM produce the units. [REDACTED]

The price of the DVE Control Panel is \$ [REDACTED] each; a quantity of 18 is required for a cost of \$ [REDACTED] which is the grand total for this J&A. The total estimated cost to secure and qualify a second source is \$1,500,000. This is [REDACTED] times the cost to

continue with the current single source contract to DRS Network and Imaging Systems.

Even if a 25% savings in total price could be achieved in the first year by qualifying and certifying a second source, the savings of \$ [REDACTED] would take [REDACTED] years to offset the estimated \$1.5M cost to develop and qualify that source. Given the relatively low demand for this item, this payback time could be extended even longer.

6.Efforts to Obtain Competition:

- a. Effective competition: Due to the reasons cited in section 5, the Government is not pursuing competition for this item.
- b. Subcontracting competition: Unless the contract is awarded to a small business, the solicitation and resulting contract will include FAR clauses 52.219-8, "Utilization of Small Business Concerns"; 52.244-5, "Competition in Subcontracting"; 52.219-16, "Liquidated Damages--Subcontracting Plan"; and Defense Federal Acquisition Regulation Supplement (DFARS) 252.219-7003, "Small Business Subcontracting Plan (DoD Contracts)," to maximize small business opportunities and utilization.

SOLE SOURCE: Notices required by FAR 5.201 will be posted.

7.Actions to Increase Competition: There are no plans to increase competition for future procurements due to the reasons cited above.

8.Market Research: A Sources Sought Notice was posted to SAM.gov on 28 October 2022 and was open for 15 days. No responses received.

DEVCOM GVSC Engineering performed Internet searches for suitable competition, described below: Keywords: 5836-01-556-9104; control panel; control box; display control panel; display manufacturers.

Findings: Results did not yield a control panel that could perform the operations needed to interface with the DVE Display Panel.

GVSC engineers attended the National Defense Industrial Association (NDIA) Ground Vehicle Systems Engineering and Technology Symposium (GVSETS) with Industry Conference to determine available contractors for needed products. There were no possible contractors present that met the requirements for this item.

DRS Network & Imaging Systems was contacted to request consideration for the U.S. Government to purchase the intellectual property for the DVE Control Panel. This vendor declined to sell their intellectual property to the Government.

9. Interested Sources: To date no additional sources have expressed interest in this item or requested more information.

10. Other Facts: Procurement History: Only one contract, SPRDL1-19-C-0238 dated 12 September 2019, from DRS Network and Imaging System, LLC (cage: 32865) was for 14 units

11. Technical Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Division Chief, Force Projection Technology
Email: [REDACTED]
Signature:

6/8/2023

X [REDACTED]
Signed by: [REDACTED]

12. Requirement Certification: I certify that the supporting data under cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Division Chief
Email: [REDACTED]
Signature:

6/14/2023

X [REDACTED]
Signed by: [REDACTED]

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. This determination will be based on the results of a detailed cost and or price analysis. The contractor will be required to submit certified cost or pricing data as the expected value of this procurement falls within the threshold. This item is other than commercial.

Name: Mahlmeister, Jeffrey J CIV DLA LAND AND MARITIME (USA)
Title: Contracting Officer
Email: jeffrey.mahlmeister@dla.mil

SPRDL1-23-R-0021 (JA-00555)
Previous J&A: SPRDL1-18-R-0168

Signature:

6/7/2023

X //JJM//

Signed by: MAHLMEISTER.JEFFREY.J.1288587244

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: Mahlmeister, Jeffrey J CIV DLA LAND AND MARITIME (USA)

Title: Contracting Officer

Email: jeffrey.mahlmeister@dla.mil

Signature:

6/7/2023

X //JJM//

Signed by: MAHLMEISTER.JEFFREY.J.1288587244

**APPROVAL OF JUSTIFICATION
FOR OTHER THAN FULL AND OPEN
COMPETITION**

**Approval Authority for Acquisitions Equal to or Greater than
\$750,00 but less than \$15M.**

Based on the foregoing Justification, I hereby approve the procurement of the following:

- a. NOUN: CONTROL PAN IBV IV
- b. NSN: 5836-01-556-9104
- c. Guaranteed Minimum IDIQ Quantity: 18 each
- d. Minimum Estimated Total Value: \$ [REDACTED]
- e. Maximum five-year IDIQ Quantity: 66 each
- f. Maximum Estimated Total Value: \$ [REDACTED]

This action will be awarded on an other than full and open competition basis pursuant to the authority of 10 USC 3204 (a)(1) as implemented by FAR 6.302-1, Only One Source and No Other Supplies of Services Can Satisfy Agency Requirements.

Signature: DAPO.DOUGLAS.A.1230220014
X
Digitally signed by
DAPO.DOUGLAS.A.123022
0014
Date: 2023.06.16 12:36:18
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Competition Advocate